

recent market action of the good-will giants would recommend them for a diversified portfolio of common stocks. Our own preference, however, remains for other types that show a combination of favorable investment factors, including asset values of at least two-thirds the market price.

The tests using other criteria indicate in general that random lists based on a single favorable factor did better than random lists chosen for the opposite factor—e.g., low-multiplier issues had a smaller decline in this period than high-multiplier issues, and long-term dividend payers lost less than those that were not paying dividends at the end of 1968. To that extent the results support our recommendation that the issues selected meet a combination of quantitative or tangible criteria.

Finally we should comment on the much poorer showing made by our lists as a whole as compared with the price record of the S & P composite. The latter is weighted by the size of each enterprise, whereas our tests are based on taking one share of each company. Evidently the larger emphasis given to giant enterprises by the S & P method made a significant difference in the results, and points up once again their greater price stability as compared with “run-of-the-mine” companies.

Bargain Issues, or Net-Current-Asset Stocks

In the tests discussed above we did not include the results of buying 30 issues at a price less than their net-current-asset value. The reason was that only a handful, at most, of such issues would have been found in the *Stock Guide* at the end of 1968. But the picture changed in the 1970 decline, and at the low prices of that year a goodly number of common stocks could have been bought at below their working-capital value. It always seemed, and still seems, ridiculously simple to say that if one can acquire a diversified group of common stocks at a price less than the applicable net current assets alone—after deducting all prior claims, and counting as *zero* the fixed and other assets—the results should be quite satisfactory. They were so, in our experience, for more than 30 years—say, between 1923 and 1957—excluding a time of real trial in 1930–1932.

Has this approach any relevance at the beginning of 1971? Our answer would be a qualified “yes.” A quick runover of the *Stock Guide* would have uncovered some 50 or more issues that appeared to be obtainable at or below net-current-asset value. As might be expected a good many of these